

PRIME MINISTER'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
FORM SIX PRE-MOCK EXAMINATION
NJOMBE REGION

151/2: ECONOMICS 2, PROPOSED MARKING SCHEME (AUGUST 2026)

1. (i) Entrants Refer to individuals who are entering the labour market for the first time, typically young people who have just completed their education and looking for their first job.

While

Re-entrants Refer to individuals who were previously part of the labour force, dropped out for a period due to different reasons (e.g. raising children, pursuing further studies or temporary illness) and now re-entering the labour market to seek employment..... (02 Marks)

- (ii) Investment multiplier: Is a measure of the relationship between change in the equilibrium level of national income and the change in autonomous investment.

Investment multiplier (K) = $\frac{\text{Change in national income}}{\text{Change in investment}}$

$$K = \frac{\Delta Y}{\Delta I}$$

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While

Withdrawals of multiplier / Leakages - Are the potential diversions of the income stream that tend to weaken the multiplier effects of new investment. Those leakages includes: Savings, Taxes and Imports.(02 Marks)

- (iii) Microeconomics - Is the branch of economics that studies the behavior, decision-making and economic choices of individuals, economic agents i.e. individual households, firms or specific market.

While

Macroeconomics - Is the branch of economics that studies the economy as a whole, focusing on aggregate variables such as total national income, over-all price levels, aggregate employment, inflation and economic growth..... (02 Marks)

- iv). Nominal GDP – Is the total market value of all final goods and services produced within a country in a given year, measured at current market prices without adjusting for inflation.

While

Real GDP is the total value of final goods and services produced within, a country in a given year, adjusted for inflation by being measured using constant prices from a base year.

.....(02 marks)

v) Sinking fund – This is a fund created by the government and gradually accumulated every year by setting aside a part of current public revenue in such a way that would be sufficient to pay off the funded debt at the time of maturity. (Way to payback public debt).

While

Capital levy. This is a tax on property and wealth on a progressive scale, mostly used during national emergencies to pay off massive public debt (Way to pay back public debt).

..... (02 marks)

Total (10) marks.

2. Student should explain the weaknesses of barter system which are

- Lack of common measure of value
- Lack of double coincidence of wants
- Difficult in dividing some goods
- Difficult in storing wealth
- Difficult in transferring some goods
- Difficult in making deferred payments

5 points 2Marks @
Total (10) marks.

3. (i) GDP_{fc} using expenditure method.

$$GDP_{mp} = C + I + G + (X - M) \dots \dots \dots 01 \text{ mark.}$$

$$\text{But } C = 255, I = 75, G = 95 \text{ and } X - M = 24 - 22 = 2$$

$$GDP_{mp} = 255 + 75 + 95 + 2 = 427 \text{ millions.}$$

$$GDP_{fc} = GDP_{mp} - \text{indirect taxes} + \text{subsidies.}$$

$$\text{Indirect tax} = 20$$

$$\text{Subsidies} = 10$$

$$GDP_{mp} = 427$$

$$GDP_{fc} = 427 - 20 + 10$$

$$= 437 - 20$$

$$GDP_{fc} = 417 \text{ millions.} \dots \dots \dots 02 \text{ marks}$$

(ii) NDP

$$\text{NDP}_{\text{mp}} = \text{GDP}_{\text{mp}} - \text{depreciation.} \dots\dots\dots 01\text{mark.}$$

$$\text{Depreciation/capital consumption allowance} = 25$$

$$\text{NDP}_{\text{mp}} = 427 - 25 = 402 \text{ million.} \dots\dots\dots 2 \text{ marks}$$

(iii) National income (NI)

$$\text{NI} = \text{NDP}_{\text{fc}} + \text{Net foreign factor income earned.} \dots\dots\dots 01\text{mark.}$$

$$\text{but } \text{NDP}_{\text{fc}} = \text{GDP}_{\text{fc}} - \text{capital consumption allowance.}$$

$$\text{NDP}_{\text{fc}} = 417 - 25 = 392 \text{ million.}$$

$$\text{NI} = \text{NDP}_{\text{fc}} + \text{Net foreign factor income.}$$

$$\text{Net foreign factor income earned} = 10 \text{ millions.}$$

$$\text{NI} = 392 + 10 = 402 \text{ million.} \dots\dots\dots .02\text{marks.}$$

(iv) Personal income (PI)

$$\text{PI} = \text{NI} - \text{corporate income taxes} + \text{undistributed profits} + \text{social security contributions} + \text{transfer payment} + \text{dividends.} \dots\dots\dots 01\text{mark}$$

$$\text{Corporate income taxes} = 40$$

$$\text{Undistributed profits} = 35$$

$$\text{Social security} = 15$$

$$\text{Transfer payment} = 22$$

$$\text{Dividends} = 2$$

$$\text{PI} = 402 - 40 - 35 - 15 + 22 + 2 = 336 \text{ millions.}$$

$$\text{PI} = 336 \text{ millions.} \dots\dots\dots 02 \text{ marks}$$

(v) Disposable income (DI)

$$\text{DI} = \text{PI} - \text{Personal taxes.} \dots\dots\dots 01\text{mark}$$

$$\text{Personal taxes} = 40, \text{PI} = 336$$

$$\text{DI} = 336 - 40$$

$$\text{DI} = 296 \text{ million.}$$

$$\text{Disposable income (DI)} = 296 \text{ million.} \dots\dots\dots 02 \text{ marks.}$$

Total (10 marks)

4. (a) Country pop: 249 millions.

Employed: 55 millions.

Unemployed: 95 millions.

Retired 30 millions.

Unemployment rate?

Unemployment rate = $\frac{\text{Number of people who are unemployed}}{\text{Total Labour Force}} \times 100$0.5 mark.

Total Labour Force = 95 + 55 = 150 millions.

$$= \frac{95 \text{ millions}}{150 \text{ millions}} \times 100 = 63.333\% \approx 63\%$$

∴ Unemployment rate = 63% 0.5mark

Basing to answer 63%

- Indicates that extremely high rate of unemployment
- Only small portion of the labour force employed
- Serious economic challenges in the country economy.

Implies that

Low investment

Limited opportunities

Mismatch between available skills and employer's needs.

.....01 marks

(b) It is not healthy to the economy. (reasons mostly affect the economy as whole)

Reasons.

- Increase burden to the government
- Loss of tax revenue
- Increase in social evils, crimes and robbery.
- Increase in dependency ratio
- Underutilization of country's resources (any 4 @ 1 marks)

(c) Ways to calm the situation

- Adopt appropriate education system and training

- Adopt expansionary monetary policy
- Adopt fiscal policy
- Government should support informal sector
- Government should promote the development of rural areas
- To control population(any 4 @ 1 marks

Total (10 marks)

5. Principle of public expenditure

- Principle of elasticity - Should be fair elastic (aim to achieve maximum social benefit)
- Principle of sanction – Should be approved by legal and competent authority (Parliament).
- Principle of promoting economic growth and stability.
 - Any expenditure must promote economic growth and economic stability.
- Principle of no adverse effect on production or distribution.
 - Promote production and income distribution within the country to leave the gap.
- Principle of economy.
 - Avoid wastage of resources.
- Principle of sound financial administration.
 - Any expenditure must be audited to make accuracy in use.

-Introduction 1mark

-(any 6 points @ 3 marks)

-Conclusion 1 mark

Total (20) marks.

6. Scope of macroeconomics - Focuses on the economy as a whole, analysing aggregate phenomena such as national income, employment levels, price stability and international trade or encompasses the study of broad economic factors that influence the behaviour performance and stability of entire economy.

The scope of macroeconomics is essential for understanding how a developing nation like Tanzania manages its resources to achieve sustainable growth and poverty reduction.

- National income.

Fundamental measure of Tanzania's economic performance national income is computed by using the concept of macro economics. Show how by computing the GDP.

- Unemployment and Employment.

Macroeconomics analysis help policymakers understand the determinants of employment.

Example: Tanzania faces structural challenges, high reliance on the informal sector.

- Inflation.

It is a core macroeconomic objective - understanding the origin of inflation example cost-push inflation.

Tanzania authorities can manage monetary policy to keep inflation within the target range & protect the consumers (society).

- Trade balance.

Tanzania's economy linked with global trade or market. Help government manage import and export by using the scope of macro-economics.

More than that helpfully to Tanzania economy other aspects such as:

- Policy formulation and implementation (help those policy makers)
- Promoting economic growth.
- Promoting equitable income distribution.
- Responding to global challenges.

Example - global inflation

- oil price shocks.

Introduction: 01 mark

Main body: 6 @ 3 marks

Conclusion: 01 mark

Total: (20) marks

7. Introduction. Frictional Unemployment. It occurs when people are temporarily out of work because they are in the process of changing jobs or are in between jobs.

Causes.

- Imperfect knowledge of job opportunities.
- Inability of the economy to match peoples with jobs smoothly.
- Imperfect labour mobility.
- Work-force re-entrants.
- Voluntary job transitions.

Effects.

- Increase in work discipline.
- Hardworking (to the workers.)
- Temporary loss of personal revenue.
- Temporary reduction in National output.
- Improved long-term job matching.

Solution for frictional unemployment.

- Through creating awareness among people about labour mobility.
- Knowledge on job opportunities.
- Targeted skills training.
- Improving information flow.

Introduction: 01 mark

Main body: 6 @ 3 marks

Conclusion: 01 mark

Total: (20) marks

8. Introduction

Student should explain the monetary measure to control inflation which are

1. Selling Government securities

2. Increasing banking rate policy
3. Selective credit control
4. Increasing reserve requirement(Cash reserve ratio)
5. Control or limiting the level of credit
6. Moral suasion
7. Encouraging special deposits

Conclusion.

Introduction: 01 mark

Main body: 6 @ 3 marks

Conclusion: 01 mark

Total: (20) marks